

week 2

LISA'S WATERBED EMPORIUM INC.

Julie Gosse revised this case written by Lisa Davidson under the supervision of Professor Richard Mimick solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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Lisa had a formidable task ahead of her; she wanted to prepare an income statement, statement of retained earnings and a balance sheet for the year ended or as of September 30, 2022, whichever was appropriate. In order to prepare these statements, Lisa had assembled information from the accountant, the bank and various departments within the company. She had only 50 minutes to complete the work before her meeting and so she began in a fury.

Lisa noted with pride that her company had achieved sales of \$4,870,000, of which only \$1,030,000 had not been collected. To provide this sales level, \$3,300,000 worth of goods had been purchased throughout the year, of which only \$680,000 had not been paid for yet.

At the beginning of the year, Lisa had noted that there was \$820,000 worth of goods in the storerooms and she wondered how much money was invested in the inventory currently on hand.

Lisa thought back to her initial decision to purchase the company and remembered that she had paid \$250,000 over the book value of the company for a number of reasons. The land was listed at \$600,000 and the building and equipment were listed at a cost of \$800,000.

While leafing through the accountant's notes, Lisa surmised that, as of September 30, 2021, accumulated depreciation on the building and equipment was \$100,000. In addition, as of September 30, 2022, marketable securities totalled \$600,000 and outstanding liabilities included notes payable of \$670,000 and the current portion of the long-term debt of \$100,000. Finally, for the fiscal year ending September 30, 2022, general and administrative expenses were \$1,300,000 and the depreciation expense was \$50,000.

While trying to sort through all of the information, Lisa noted from the bank statements that the long-term portion of the mortgage loan was \$1,130,000 and the due to shareholders loans (5 per cent due 2024) were at \$340,000.

Lisa knew she couldn't forget about taxes; the company had incurred an income tax expense of \$80,000 of which \$30,000 was outstanding.

In addition, Lisa wanted to satisfy her shareholders and, therefore, she paid \$30,000 in dividends to the holders of the \$300,000 in common stock.

Finally, Lisa had made some headway; for the year ending September 30, 2022, net income after tax was \$230,000, net operating profit was \$310,000 and gross profit was \$1,660,000; as of September 30, 2022, retained earnings were \$810,000 and total liabilities and shareholder's equity were \$4,060,000.

One last question still plaguing Lisa was how much cash the company had as of September 30, 2022.

Statement of Retained Earnings

Both

Both

Statement of earnings

BS

SOE

BS (goodwill)

BS (Longterm Asset)

BS (current asset)

BS (longterm liability)

Operating Expense

Longterm liability

we know longterm bec 2024 is over a year

income statement

- ① with sales or revenues
- ② cost of good sold
- ③ deduct operating expenses
- ④ get operating profit
- ⑤ other income or expense
- ⑥ tax

income Statement Example

Revenue
Sales

\$ 4870

Cost of goods sold

Beg

Inv

COGS

End

COGS

gross profit

Operating expenses

820
3,300
4,120
910
3,210
1,660

General and Admin
Depreciation of express
total operating cost

$$\begin{array}{r} 1300 \\ 50 \\ \hline 1350 \end{array}$$

Shift..

→ make statement of retained earnings

* Cash be first asset listed
on balance sheet

Current Asset

★ Cash first

Current liabilities

LT dept/liability

LT Asset

Common Stock

equity

↑
due
sooner

Should make the balance sheet to practice ★

Assets		Liabilities	
Current Assets		Current Liabilities	
Cash	250	Accounts payable	350
Accounts Receivable	2320	Notes Payable	240
Ending Inventory	276	Current Portion of Long-Term Loan	125
Total Current Assets	2846	Working Capital Loan	350.88
		Total Current Liabilities	1065.88
Property Plants & Equipment		Longterm Liabilities	
Glue Making Machinery	700	Long-Term Loan	625
Net Property Plants & Equipment	700	Total Longterm Liabilities	625
		Total Liabilities	1690.88
		Share Holder Equity	
		Common Stock	300
		Retained Earnings	1555.12
		Total Shareholders' Equity	1855.12
Total Assets	3546	Total Liabilities and Shareholder Equity	3546

Cos GMM 100,000
 Deprec 30,000
 Net GMM 70,000

income statement ①

Revenue	
Sales	57,500.00
COGS	
Beginning Inventory	210
Purchases	15000
Cost of Goods Available for Sale	15210
Ending Inventory	276
Total COGS	14934
Gross profit	42566
Operating Expenses	
Salaries	3500
Selling Expenses	650
General & Admin	380
Rent	400
Maintenance & Repairs	102.5
Depreciation of Expenses	100
Interest Expense	160
Total Operating Expenses	5292.5
Net Profit Before Tax	37273.5
Tax	9,268.38
Net Profit After Tax	28,005.13

retained earnings ②

Retained Earnings, Last Year	
+ Net profit after tax	28005.125
- Dividends	27000
Retained Earnings, This Year	
	1555.12

Sales - COGS

Not related

513,250

Not considered an operating expense

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Selling Expenses	income stat	
Retained Earnings, 2024		\$155,512
Cost of Goods Sold		?
Income Tax	15% on the first \$50,000; 25% on amount above	
	Net Income Before Tax	
Sales		\$5,750,000
Ending Inventory, 2023		\$21,000
General and Administrative Expenses		\$38,000
Dividends		\$2,700,000
Windsurfer		\$8,500
Accounts Payable		\$35,000
Glue Making Machinery, Net		\$70,000
Interest Expense		\$16,000
Cash		\$25,000
Salaries		\$350,000
Notes Payable		\$24,000
Long-Term Loan at March 31, 2023		\$75,000
Current Portion of Long Term Loan		\$12,500
Working Capital Loan		PLUG
Rent		\$40,000
Ending Inventory, 2024		\$27,600
Maintenance and Repairs		\$10,250
Accounts Receivable		\$232,000
Glue Making Machinery, Cost		\$100,000
Depreciation Expense		\$10,000
Purchases		\$1,500,000
Retained Earnings, 2023		55,000
Common Stock		\$30,000

Assignment: Using the above list, assemble the three statements for the fiscal year 2024.

Plug

⇒ it will always be a short term working capital loan
⇒ you will have to solve for this at the end

1. Operating Activities (\$1,378):

- Working Capital Pressure: Despite reporting a positive net income of \$6,761, operating cash flow was severely constrained at \$1,378.
- Cash Tie-ups: The business experienced major cash outflows as sales grew: accounts receivable expanded by \$13,130 and inventory grew by \$7,222. These outflows were partially cushioned by an increase in accounts payable of \$8,535, indicating that the company is relying on supplier credit to help finance its working capital gap.

2. Investing Activities (-\$7,221):

- Capital Expenditures: The company deployed \$7,221 into investing activities to purchase land (as confirmed by the fixed asset and footnote disclosures). No fixed assets were sold during the year, showing targeted reinvestment into property.

3. Financing Activities (\$7,812):

- External and Owner Support: The business relied on debt and equity injections to bridge its cash shortfalls and fund capital investments.
- Key Components: The company increased its reliance on short-term liquidity by drawing an additional \$8,798 on its line of credit and received a \$5,580 cash injection from the owner in October 2024. This was offset by long-term debt repayments of \$3,283 and owner drawings of \$3,283, resulting in a net positive cash flow from financing of \$7,812.



For the Year Ending December 31, 2024	
Cash Flow Category	Amount (\$)
Cash Flows from Operating Activities	
Net Income	\$6,761
Depreciation expense	\$6,106
Increase in accounts receivable	(\$13,130)
Increase in inventory	(\$7,222)
Decrease in prepaids	\$328
Increase in accounts payable	\$8,535
Net Cash Provided by Operating Activities	\$1,378
Cash Flows from Investing Activities	
Purchase of fixed assets (Land)	(\$7,221)
Net Cash Used in Investing Activities	(\$7,221)
Cash Flows from Financing Activities	
Increase in line of credit	\$8,798
Repayment of long-term debt	(\$3,283)
Owner capital investment	\$5,580
Owner drawings	(\$3,283)
Net Cash Provided by Financing Activities	\$7,812
Net Increase in Cash	\$1,969
Cash Balance, Beginning (December 31, 2023)	\$1,970
Cash Balance, Ending (December 31, 2024)	\$3,939

Source - ●
Use - ●

Cash is for paying
you can't pay with income

Never gonna make one of
these again



